European Commission

INDIA SME HELPDESK

Patent Licensing Agreement
(Template)

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TEMPLATE - PATENT LICENSING AGREEMENT FOR INDIA

This Intellectual Property Licensing Agreement ("Agreement") is entered into on this ___ day of _____, 2026 ("Effective Date"), by and between **[Licensor Name]**, a company organized and existing under the laws of **[Jurisdiction]**, having its registered office at **[Address]** ("Licensor"), and **[Licensee Name]**, a company organized and existing under the laws of **[Jurisdiction]**, having its registered office at **[Address]** ("Licensee").

WHEREAS, Licensor is the sole and lawful owner of certain patents and patent applications, together with all associated intellectual property rights, including patents of addition, divisional patent applications, as well as all datasets, test results, technical data, and regulatory filings directly tied to and arising from the inventions covered by such patents and patent applications ("Licensed Patents");

WHEREAS, Licensee desires to obtain from Licensor, and Licensor is willing to grant to Licensee, a licence under the Licensed Patents to make, have made, use, offer for sale, sell, and/or import the patented product(s) and/or process(s) as permitted under this Agreement;

NOW, THEREFORE, in consideration of the mutual covenants, representations, and warranties contained herein, the Parties hereby agree as follows.

1. Definitions.

1.1 "Licensed Patents" means granted patents, published applications or other filed applications in India and other countries that are related to technology that will be licensed. Licensed patents shall include patents of addition and divisional applications related to licensed technology.

1.2 "Technology" means technical data, prototypes, design documents, know-how, and processes, even if not formally patented. If the technology is patented, then "Technology" refers to any information or know-how (a) created before this agreement came into force, (b) in possession of the Licensor at the time of agreement whether developed independently or received through assignment/ licensing, (c) which does not infringe any pending or granted claim under the Licensed Patents and (d) is required to practise or implement the inventions covered by the Licensed Patents.

1.3 "Licensed Product" means any product provided under this Agreement, including any technology used in its manufacture, use, sale, offer for sale, or importation, which in the absence of the Licence granted herein would directly infringe, induce infringement of, or contribute to the infringement of any pending or issued claim of the Licensed Patents.

1.4 "Licensed Process" means any process or method, including all constituent steps and any technology employed in its execution or implementation, that is performed or used under this Agreement and which, in the absence of the Licence granted herein, would directly infringe, induce infringement of, or contribute to the infringement of any

pending or issued claim of the Licensed Patents, together with any product directly resulting from the performance of such process.

1.5 "**Field of Use**" refers to the application area of the licensed product or process, should it be limited.

1.6 "**Territory"** refers to the jurisdiction where the licensed products can be marketed, manufactured, exported or imported, or where the licensed process can be performed.

1.7 "Net Sales" means the total sales of the licensed products sold under this Agreement.

1.8 "Licensor" means a person or entity that legally owns the licensed patents.

1.9 "Licensee" means a person or entity that is assigned the license as per this Agreement.

2. License Terms:

2.1 Grant of License: The Licensor hereby grants to the Licensee a/an [1]**[exclusive] [co-exclusive] [sole] [non-exclusive]** license under the Licensed Patents to **make, have made (for the Licensee), use, sell, offer for sale, import, and otherwise commercialise** the Licensed Products [2]**[in the Field of Use] [for all fields of use]** within the **[Territory] [worldwide territory]** during the Term of this Agreement. This grant of license also includes the right to use the Technology to **make and have made (for the Licensee)** the Licensed Products **[in the Field of Use] [for all fields of use]** within the **[Territory] [worldwide territory]** during the Term of this Agreement.

2.2 Sub-Licensing: The Licensee shall **[not]** have the right to grant sublicences under the Licensed Patents, Technology and Licensed Products **[with the prior written consent of the Licensor] [without requiring prior approval] [only to Affiliates of the Licensee] [to third parties and Affiliates of the Licensee],** provided that any sublicence shall be consistent with the terms of this Agreement. The Licensee shall remain responsible for the performance and compliance of all sublicensees.

2.3 Reservation of Rights by Licensor: The Licensor reserves for itself the right to **[practice the Licensed Patents for internal research and academic purposes] [grant licenses to others outside the Field of Use or Territory] [retain all rights not expressly granted herein]**. No rights are granted by implication, estoppel, or otherwise except as explicitly outlined in this Agreement.

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[1] Select as per requirements, negotiations, and the type of License.

[2]This is a sample patent agreement to create an exhaustive license agreement specific to technology/sub-technology. Please connect with the India IP SME helpdesk at india@iprhelpdesk.eu

2.4 Performance Obligations: The Licensor grants this Licence subject to the condition that the Licensee agrees to use commercially reasonable efforts to develop, manufacture, promote, and commercialise the Licensed Products within the **[Field of Use] [Territory]** and to ensure that minimum sales targets and/or development milestones and annual progress as a condition for maintaining the exclusivity or continuation of the licence.

2.5 Technology Transfer Support: The Licensor shall provide initial technology transfer support necessary to enable the Licensee to practice the Licensed Patents, Technology and Products, including **[training] [documentation] [prototype access] [on-site guidance] [remote technical support],** for the period and under the terms specified in this Agreement. Any additional support beyond the agreed period shall be provided **[at no cost] [at the Licensor's standard consultancy rate] [as mutually agreed in writing].**

3. Royalties and Fee Payment.

3.1 Upfront Fee. Licensee shall pay to the Licensor an upfront licence royalty of Rupees…….... upon execution of the Agreement.

3.2 Maintenance Fees. The Licensee shall pay the Licensor a maintenance fee based either on -

a. **[Option A - Fixed Periodic Maintenance Fee]** of Rs _____ **[Quarterly], [Half yearly]**, or an **[Annual fee]**.
b. **[Option B - Volume-Based Maintenance Fee]:** The Licensee shall pay the Licensor a maintenance fee ("Maintenance Fee") equal to _____**%** of the Net Sales of Licensed Products achieved by the Licensee in each contract year during the Term.
c. **[Option C - Running Royalty as Maintenance Fee]:** The Licensee shall pay the Licensor a running royalty equal to _____% of Net Sales of Licensed Products during each Royalty Period ("Running Royalty").

4. Payments.

4.1 Quarterly Royalty Reports. The Licensee shall keep a formal account to maintain the sale of a Licensed Product. At the end of each **[Quarter]/ [half year]/[Annually]**, the Licensee shall submit a written report and the corresponding earned royalty payment within thirty (30) days after the end of each calendar quarter (March 31, June 30, September 30, and December 31). The Licensee shall submit to the Licensor a report for every quarter, regardless of whether any sales of Licensed Products were made during that period. Each report shall include: (a) the quantity of Licensed Products sold, segregated by product; (b) Net Sales, segregated by product.

4.2 Records. The Licensee shall maintain, and shall require its Affiliates and Sublicensees to maintain accurate and complete records of all Licensed Products manufactured, used or sold, as well as all Sublicense fees possibly received under this Agreement. Such records shall be retained for a period of at least **[five (5)]** years from the end of the quarter to which the records pertain.

4.3 Audit. Licensor, at its sole discretion, has the right to audit Licensee's records to verify payments made by Licensee under the Agreement. The Licensor may assign a representative to conduct an audit under this provision. The Licensor shall bear the audit fee.

5. Milestones.

5.1 Licensee agrees to manufacture and sell the Licensed product and achieve target milestones related to product sales. The target sales are provided under **[APPENDIX A] or [you may write it here].** Licensee agrees that the Licensor requires these milestones to recover the investments made in Research and Development.

5.2 If the Licensee fails to deliver the agreed milestones for four consecutive quarters, the Licensor may, at its discretion, terminate this agreement.

6. Reporting. At the end of each quarter, the Licensee is required to create and share a report of total sales of the Licensed Product in the assigned Territory.

7. Patent Matters. All pending patent applications and their prosecution shall be the responsibility of the Licensor. The Licensor shall keep the Licensee updated on all matters related to pending patent applications, their renewals and other matters related to granted and pending patent applications.

8. Term and Termination.

8.1 Term. Unless terminated earlier as provided herein, the Agreement will commence on the Effective Date. This Agreement shall automatically terminate upon the expiration of the Licensed patent. If there is more than one patent, the termination shall occur upon the expiry of the last licensed patent in the patent portfolio.

8.2 Termination by Licensee. Licensee may terminate this Agreement by giving Licensor a written notice at least ninety (90) days in advance of the effective date of termination identified by Licensee.

8.3 Termination by Licensor. Licensor may terminate this Agreement if Licensee**:** (a) is delinquent in any report or payment;(b) fails to commercialise the Licensed patents, knowledge and licensed products; (c) fails to adhere to milestones; (d) breaches any provisions of this agreement; and (e) fails to report the net sales of the licensed product.

8.4 Cure Period. Termination under Section 8.3 will take effect sixty (60) days after written notice by Licensor unless Licensee cures the identified problem within sixty days.

8.5 Bankruptcy. The agreement shall automatically terminate if Licensee files for bankruptcy.

8.6 Surviving Provisions. Provisions related to confidentiality**.**

9. Infringement of the Licensed Patents. Licensee will promptly inform Licensor of any suspected infringement of a Licensed Patent by a third party. In any suit for patent infringement of a Licensed Patent brought against a third party, the Licensor and Licensee shall cooperate fully. At the request of the party bringing the suit, the other party will permit, with reasonable notice, the inspection of its relevant books and records. It will provide access to its personnel to the extent necessary to prosecute or defend such action.

10. Warranties and Disclaimers.

10.1 Licensor Representations and Warranties. Except for any rights of the Indian Government arising by statute, regulations or law, Licensor represents and warrants to Licensee that:

- **a)** Licensor holds full right, title, and interest in and to the Licensed Patents, Know-How, and the Licensed Product;
- **b)** Licensor retains the exclusive right to file future Applications within the definition of the Licensed Patents in all jurisdictions, and all derivative works and improvements to the Licensed Product shall remain the exclusive intellectual property of Licensor;
- **c)** Licensor has full authority to grant the licenses set forth herein; and
- **d)** Licensor has not granted, and will not knowingly grant, any license or right under the Licensed Patents that conflicts with the terms of this Agreement.

10.2 Licensee Representations and Warranties. Licensee hereby represents and warrants to Licensor, throughout the Term of this Agreement, that:

- **a)** Licensee is duly incorporated, validly existing, and in good standing under the laws of its jurisdiction of incorporation.
- **b)** Licensee has full power and authority to enter into and perform this Agreement. This Agreement has been duly authorized, executed, and delivered by Licensee and constitutes its valid and binding obligation, enforceable in accordance with its terms.
- **c)** The execution and performance of this Agreement do not conflict with or violate any applicable law, regulation, or any agreement to which Licensee is a party.
- **d)** Licensee shall obtain and maintain, at its own cost, all permits, approvals, and licenses required by applicable law for the development, manufacture, and commercialization of the Licensed Product.
- **e)** As of the Effective Date, there is no pending or threatened litigation or proceeding against Licensee that would materially affect its ability to perform its obligations under this Agreement.
- **f)** Compliance with Laws. Licensee shall conduct all activities under this Agreement in compliance with all applicable laws and regulations.
- **g)** Licensee acknowledges its obligation to work the Licensed Patents adequately and shall file all statements of working as required under applicable law.

Any breach of the above representations and warranties shall entitle Licensor to seek remedies available under this Agreement and applicable law, including termination.

11. LICENSOR'S DISCLAIMER OF WARRANTIES.

EXCEPT AS EXPRESSLY SET FORTH IN THIS AGREEMENT, LICENSEE ACKNOWLEDGES AND AGREES THAT LICENSOR MAKES NO REPRESENTATIONS OR WARRANTIES OF ANY KIND, WHETHER EXPRESS OR IMPLIED. *THIS INCLUDES, WITHOUT LIMITATION, ANY WARRANTIES RELATING TO THE LICENSED PRODUCTS OR LICENSED SERVICES, OR TO THEIR OPERABILITY, FITNESS FOR ANY USE OR PARTICULAR PURPOSE, MERCHANTABILITY, SAFETY, EFFICACY, REGULATORY APPROVABILITY, DEVELOPMENT TIME OR COST, PATENTABILITY, NON-INFRINGEMENT, AND/OR THE SCOPE OR BREADTH OF THE PATENT RIGHTS. LICENSOR FURTHER MAKES NO REPRESENTATION OR WARRANTY REGARDING THE VALIDITY OF ANY CLAIM OR PATENT INCLUDED WITHIN THE PATENT RIGHTS, NOR AS TO WHETHER ANY PATENTS NOW HELD OR LATER ACQUIRED BY OTHERS OR BY LICENSOR MAY BE NECESSARY FOR THE USE OF THE PATENT RIGHTS IN THE FIELD OF USE.* ***NOTHING IN THIS AGREEMENT SHALL BE CONSTRUED AS GRANTING, BY IMPLICATION, ESTOPPEL, OR OTHERWISE, ANY LICENCE OR RIGHTS TO ANY PATENTS OR TECHNOLOGY OF THE LICENSOR OTHER THAN THE PATENT RIGHTS EXPRESSLY GRANTED HEREIN,*** *WHETHER SUCH PATENTS ARE DOMINANT OR SUBORDINATE TO THE PATENT RIGHTS, OR TO ANY TECHNOLOGY OTHER THAN THE SPECIFICALLY DESCRIBED TECHNOLOGY RIGHTS.*

12. Indemnification. Licensee shall indemnify, defend, and hold Licensor and all its directors, employees, officers and agents harmless from and against any claims, damages, liabilities, costs, and expenses (including reasonable attorneys' fees) arising out of or relating to (1) the exercise by Licensee of any rights granted under this Agreement; (2) any breach of this Agreement by Licensee; (3) the exercise of any rights granted under any sublicence issued pursuant to this Agreement; or (4) any breach of any such sublicence. This indemnification shall include, without limitation, any product liability claims.

13. Insurance. Before any Licensed Product is used or sold (including for Regulatory Approval) or any Licensed Service is performed by Licensee, its Affiliates, or Sublicensees, Licensee shall, at its sole expense, obtain and maintain comprehensive general liability insurance, including product liability coverage, with minimum limits of **Rupees**_____and naming all Indemnitees as additional insureds. Upon Licensor's request, Licensee shall provide written proof of such coverage and shall give Licensor at least sixty (60) days' prior written notice of any cancellation, non-renewal, or material change.

14. Limitation of Liability. *UNDER NO CIRCUMSTANCES SHALL LICENSORS, INVENTORS, OFFICERS, EMPLOYEES, STUDENTS, TRUSTEES, AGENTS OR AFFILIATED ENTERPRISES, BE LIABLE FOR ANY INDIRECT, SPECIAL, CONSEQUENTIAL, INCIDENTAL, EXEMPLARY, OR PUNITIVE DAMAGES (INCLUDING, WITHOUT LIMITATION, DAMAGES FOR LOSS OF PROFITS OR REVENUE) ARISING*

OUT OF OR IN CONNECTION WITH THE AGREEMENT OR ITS SUBJECT MATTER, REGARDLESS OF WHETHER ANY SUCH PARTY KNOWS OR SHOULD KNOW OF THE POSSIBILITY OF SUCH DAMAGES.

15. Assignment. Licensee may not assign this Agreement without the prior written consent of Licensor; provided that Licensee may assign this agreement to any purchaser or transferee of all or substantially all of Licensee's business upon prior written notice to the Licensor.

16. Use of Name. Licensee will not use the name, trademarks or other marks of Licensor without the written permission of the Licensor. The Licensee may use the Logo and the name on packaging material of the Licensed product to demonstrate the patented technology of the Licensor.

17. General Provisions.

17.1 Assignment: Licensee will not sublicense, assign, pledge, grant or otherwise encumber or transfer to any third party, all or any part of its rights or duties under this Agreement, in whole or in part, without the prior written consent of the Licensor. Licensor reverses the absolute right to refuse the Licensee to make any Assignment.

17.2 Independent Contractor. Except as expressly set forth in this Agreement, neither party shall possess, nor shall it purport to possess, any authority to bind the other party or to incur, assume, or create any obligation or liability on behalf of the other party.

17.3 Notices. All notices, requests, claims, demands, and other communications under this Agreement shall be in writing and shall be deemed duly given upon receipt when delivered in person, sent by overnight courier with proof of delivery, transmitted by facsimile, or dispatched by registered or certified mail (postage prepaid, return-receipt requested), to the parties at their respective addresses specified below.

A. Address for Licensor:

B. Address for Licensee:

17.4 Governing Law. This Agreement shall be governed by, and construed in accordance with, the laws of India. The courts located in **New Delhi** shall have exclusive jurisdiction over any dispute arising out of or in connection with this Agreement, and each party irrevocably submits to such jurisdiction and waives any objection thereto, including on grounds of venue or *forum non conveniens*.

17.5 Amendment. Any amendment to this Agreement should be made in writing and accepted by both parties.

17.6 No Waiver. The failure of either party to enforce any provision of this Agreement shall not be construed as a waiver of its right to enforce that provision at any time thereafter.

17.7 Severability. If any term or provision of this Agreement is held to be invalid, illegal, or unenforceable under any applicable law or public policy, such provision shall be deemed severed from this Agreement, and the remaining provisions shall continue in full force and effect, unimpaired and enforceable to the fullest extent permitted by law.

17.8 Headings. The descriptive headings contained in this Agreement are for convenience of reference only and shall not affect in any way the meaning or interpretation of this Agreement.

17.9 Counterparts. This Agreement may be executed in one or more counterparts, each of which, when executed, shall be deemed to be an original instrument and all of which taken together shall constitute one and the same agreement.

17.10 Entire Agreement. This Agreement constitutes the complete and exclusive understanding between the parties regarding the subject matter hereof. It supersedes all prior or contemporaneous agreements, representations, and understandings, whether written or oral, relating to such subject matter.

IN WITNESS WHEREOF, each party has caused this Agreement to be executed as of the Effective Date by its duly authorised officer.

FOR LICENSOR:

SIGNATURE……...

NAME……...

PLACE AND DATE……

FOR LICENSEE:

SIGNATURE……...

NAME……...

PLACE AND DATE……

Contact us

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